cre8: lightweight UK business plan

Prepared: 11 November 2026
Stage: founder-led validation; proposed UK-first launch
Status: working assumptions, not an investment forecast or legal advice
Supporting documents: monetization (monetization-strategy.pdf), UK legal checklist (uk-licensing-and-payments.pdf), AWS cost model (aws-whole-stack-cost-model.pdf), production spike.

1. The business in one paragraph

cre8 is a music community for producers and DJs to discover and share dubs and samples, publish ordered packs, manage release access and build relationships. Launch as a focused UK community rather than a general streaming competitor. Keep listening and ordinary community participation free; test a **GBP 9/month Creator Pro** workflow subscription. Validate repeat value with a small creator cohort, then consider curated, rights-cleared paid Sample Packs at a proposed 15% commission. Stay on Render while demand, rights and unit economics are uncertain. The first commercial objective is sustainable operating costs, not immediate founder income.

2. Customer, problem and positioning

Segment	Problem hypothesis	cre8 proposition
Independent producers	Releases/files scattered across chat and file links	A persistent release/profile with pack ordering, sharing and access controls
DJs and trusted supporters	Finding and organizing relevant permitted releases	Dub/Sample Vaults, crates, pack playback and community relationships
Small collectives/labels, later	Coordinating several artists and release recipients	Future team workflows, only after shared ownership/roles are built

Differentiate through release workflow and a trusted niche community, not "unlimited storage", exclusive rights cre8 does not own, or guaranteed promotion. Alternatives include general creator/audio platforms, file-sharing links, chat communities and sample shops. This is a positioning hypothesis, not a verified competitive benchmark or market-size claim.

Initial planning envelope: **100 registered users, 1,000 files (~25 GB originals)**. For cost comparison only, proportionally scale the spike to 10 concurrent listeners for eight hours/day, ~346 GB/month at 320 kbit/s and ~2 API requests/ second. These are not measurements. Authenticated original/lossless playback and downloads can be much larger; measure source bitrates before budget approval.

3. Offer and revenue sequence

1. **Free community:** preserve existing playback, discovery, messaging, crates, sharing, basic statistics and security controls, subject to permissions/limits.
2. **Creator Pro:** GBP 9 total monthly consumer price, including VAT if applicable. Start with a genuinely useful delivered workflow bundle, not just a badge. Test higher upload allowance, historical analytics/export, bulk templates and branded sharing; scheduling is future scope.
3. **Optional supporter:** GBP 5/month, clearly commercial support, not Gift Aid. Do not include it in base revenue projections or sell A-List approval.
4. **Curated paid packs, later:** price/licence agreed with sellers; test 15% platform commission only after rights, tax, payouts and entitlements work.

No marketplace sales, tips, sponsorship, annual prepayments or team subscriptions are assumed in the first-year base cash model. No paid benefit is implemented merely because it appears in this plan.

4. Acquisition and validation

Use founder-led outreach to a narrow producer/DJ scene, with permission:

- Interview 10 active creators and 5 listeners about real workflow problems.
- Recruit 5-10 anchor creators with cleared content; ask them to invite relevant collaborators/listeners, not to mass-message strangers.
- Run practical pack-sharing demos and opt-in release showcases.
- Seek introductions through collectives and production communities; any paid placement or affiliate relationship must be disclosed.
- Ask for paid pilot commitments at the shown price; avoid a fake checkout.

Do not spend heavily on acquisition until repeat use and renewals are visible. Treat 100 registrations as a recruitment milestone, not 100 active customers. If only 20 are active creators, 10 Pro subscribers requires 50% conversion of that segment. Do not describe that as an easy 10% conversion.

5. Product and operating model

The current monorepo has React web/admin apps, shared UI and a framework-free Node HTTP/WebSocket API. The deployment serves frontend/admin with the API. Media remains on disk; PostgreSQL compatibility is opt-in. The spike demonstrates separate durability/media concepts, not a fully deployed commerce/worker system.

Launch architecture

- Retain one Render API/web service and a suitably sized managed PostgreSQL database. Validate TLS/import/restore before switching production storage.
- Initially cap disk/media use; the checked-in 1-GB disk is not sufficient for the opening 25-GB catalogue plus working space and backups.
- Evaluate private R2 object storage after implementing authorization, lifecycle, backups and delivery. It is a cost option, not currently wired production code.
- Use hosted payment checkout/billing; process signed webhooks transactionally into a separate entitlement ledger, not directly into arbitrary pack grants.
- Keep A-List approval, audience, sample classification and purchases independent.
- Use bounded processing and tested backups; do not promise high availability from a single service or assume 512 MB can handle the intended workload.

At launch the founder owns product, engineering, support and moderation. Use a UK accountant and suitable music/technology legal advisers for specialist work. These external roles are costed as allowances, not hired staff or confirmed quotes. Set a supported contact route and response policy; do not promise 24/7 human support.

6. Monthly cash budget

All amounts are **GBP planning allowances**, not supplier quotes. Assume no VAT input recovery; confirm invoiced cloud taxes/FX and fit them inside the allowance or reforecast. The cloud estimate depends on sizing, media delivery and backups.

Item	Monthly cash allowance	Basis
Hosting, database, media, backups, basic monitoring/domain	60	Central small-launch assumption within a GBP 40-80 infrastructure sensitivity band
Business/admin software	15	Minimal tools; avoid overlapping subscriptions
Bookkeeping/accounting	40	Provision pending quote and legal structure
Legal/compliance/incident reserve	50	Cash set aside; not a quote or a substitute for licences
Community/marketing experiments	25	Small opt-in outreach/event allowance
Monthly cash requirement	**190**	No founder pay, music royalties or tax provision included
Twelve-month requirement	**2,280**	Assumes unchanged costs; reforecast with growth

The GBP 60 infrastructure line is intentionally not called a verified Render quote. Get actual database/instance/disk/object-storage and transfer prices first. The legal reserve is a cash earmark, not automatically an accounting expense. This plan describes **cash headroom**, not statutory profit.

The larger AWS model (aws-whole-stack-cost-model.pdf) budgets USD 600 lean or USD 825 resilient, including staging/contingency, at the larger spike envelope. At **USD 1 = GBP 0.80 solely for planning**, that is GBP 480/660, not live FX or a London-region quote. Substituting those for the GBP 60 line takes total monthly cash allowance to **GBP 610/790**, before tax/royalties/founder pay. There is no reason to adopt that stack for the first 100 users solely to launch.

7. Unit economics and break-even

At GBP 9/month, illustrative standard UK card Payments (1.5% + GBP 0.20), pay-as-you-go Billing (0.7%) and a 5% refund/dispute cash reserve leave:

- **GBP 8.152 per subscriber** if not VAT-registered.
- **GBP 6.652 per subscriber** if the same GBP 9 includes standard-rate 20% VAT, assuming no input recovery and fees calculated on gross receipts.

These are before delivery/overhead; actual fee rounding, card mix and extra products can change them. See Stripe's UK fees and the monetization strategy (monetization-strategy.pdf).

Paying Pro users	Monthly gross receipts	Contribution, not registered	Cash headroom after GBP 190 allowance
5	45	40.76	-149.24
10	90	81.52	-108.48

Paying Pro users	Monthly gross receipts	Contribution, not registered	Cash headroom after GBP 190 allowance
20	180	163.04	-26.96
30	270	244.56	+54.56

Infrastructure-only break-even at GBP 60 is **8 Pro members**, or **10** when VAT-registered at the same price. Whole operating-allowance break-even is **24**, or **29** when registered. Neither includes founder remuneration, income/corporation tax, licence fees or higher variable costs at scale. Registered does not mean VAT registration is expected at these revenue levels.

Illustrative first-year subscription ramp

Assume average paying members of 5, 10, 20 and 30 in successive quarters, already net of churn. There is no evidence yet that the last target is achievable from 100 registrations; it requires substantial creator adoption or audience growth.

Quarter	Average paid members	Member-months	Gross receipts	Contribution, not registered
Q1	5	15	135	122.28
Q2	10	30	270	244.56
Q3	20	60	540	489.12
Q4	30	90	810	733.68
Year		**195**	**1,755**	**1,589.64**

Against GBP 2,280 annual operating allowances, this leaves a **GBP 690.36 cash shortfall before setup, tax, royalties and founder pay**. It is a validation business, not yet a full-time income forecast. With no sales, the operating shortfall is the full GBP 2,280.

8. Setup funding and exclusions

One-off preparation	Allowance
UK legal/music-rights and contract review	GBP 1,500-3,500
Accounting/tax setup	GBP 100-300
Entity/domain/admin setup	GBP 100-250
Pilot testing/accessibility/operational work cash spend	GBP 0-300
Setup total	**GBP 1,700-4,350**

These are non-binding allowances; professional quotes may exceed them. Add three months' operating buffer of **GBP 570**. Setup + the illustrative year's GBP 690.36 shortfall + buffer implies roughly **GBP 3,000-5,700** initial cash (rounded up). With zero revenue for the year, allow **GBP 4,550-7,200** instead.

Not included: founder/developer labour, collective/direct music licence fees or royalties, international expansion, paid marketplace implementation, staff, insurance premiums, substantial disputes, unexpected tax and major security/recovery events. These can materially change viability. Obtain a rights quote and add its minima/usage royalties **before treating the funding figure as sufficient**. Do not claim that a GBP 50 reserve clears music rights.

9. Milestones and go/no-go gates

Timings are indicative sequencing, not promised delivery dates.

Phase	Goal	Gate
Weeks 1-2	Interviews, catalogue/rights audit, real hosting/provider quotes	Five credible paid pilot commitments; unresolved rights isolated
Weeks 3-6	Safe infrastructure, delivered Pro bundle, billing/terms	Legal/tax/safety checks, permissions, restore and webhook tests pass
Next two billing cycles	5-10 paying pilot creators, useful repeat usage	At least four of the first five renew; no unresolved billing/access-loss incident
Months 3-6	Improve retention and approach operating break-even	Actual costs/renewals support the offer; otherwise revise or pause

Phase	Goal	Gate
Later, separately approved	Three vetted sellers, curated paid packs	Rights, versioned purchase licences, marketplace VAT, money-flow and refunds/payouts approved

Do not expand paid features just to mask weak renewal. Do not provision AWS or build a general marketplace before confirming a genuine constraint/demand.

10. Principal risks and controls

Risk	Control and decision
Unlicensed recordings/samples or publishing	Document grants, obtain expert/service-specific licences; no affected content launch without clearance
Billing/consumer-law failures	Clear GBP total prices, correct cancellation/refund flows, subscription-law recheck before launch
Seller money/VAT obligations	Defer marketplace; regulated provider plus specialist legal/accounting review
Slow paid adoption	Small cohort, monthly billing, renewal measurement; preserve runway
Audio/processing costs exceed model	Enforce quotas, measure originals/egress/ffmpeg, reprice before broad release
Single-service outage/data loss	Disclosed limits, tested restore, independent backups and bounded jobs
Unsafe messages/content or child access	Ofcom scope/risk assessments, reporting/moderation, age/privacy review
Founder support burden	Narrow scope, supported response policy, measure hours per paid creator

Decision requested

Approve a **UK-first validation phase**, not full commercialization: GBP 9 monthly Pro hypothesis, a provisional GBP 190 monthly cash allowance and professional rights/payment/tax review within separately confirmed quotes. Stay Render-first. Revisit funding after licence quotes and the first two renewal cycles. See the UK legal checklist (uk-licensing-and-payments.pdf) for primary sources and mandatory launch gates.